

## PORTUGAL 2011

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#### 1. Overview of the tax-benefit system

Portugal has an insurance-based unemployment benefit system with duration related to age and contributory career. An unemployment assistance system exists and is related to the employment history and economic resources of the recipient. Childcare benefits are made to the provider of childcare and not to the parents or children that attend it. There are no provisions for lone parents, though positive discrimination exists in a comprehensive set of measures. The tax unit is the family.

##### 1.1. Average Worker wage (AW)

The national currency is the euro (EUR). In 2011, the AW Level is EUR 17 213<sup>1</sup>.

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<sup>1</sup> AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration ([www.oecd.org/ctp](http://www.oecd.org/ctp)). For more information, see *Taxing Wages 2010-2011*, OECD, 2012, part 5, sections 2 and 3

## **2. Unemployment insurance**

### **2.1 *Conditions for receipt***

Unemployment insurance (UI) is compulsory, except for the self-employed (non-applicable with the exception mentioned below). Claimants must be in a situation of involuntary unemployment, have to be capable and available for employment and have to be registered at the employment office.

Unemployment is regarded as involuntary whenever the end of the work contract is due to:

- Unilateral decision by the employer;
- Work contract expiration not determined by pension;
- Contract rescission by the employee with just cause (as long as the employer places no arguments against or placing them the employee proves to have set a legal action against the employer);
- Mutual agreement between employer and employee in the case of companies in situations, such as process of structural re-adaptation or recovery or any other situation that allow for collective dismissal of employees.

Invalidity pensioners that are considered as apt to work as a result of a re-assessment of their incapability are also regarded as involuntary unemployed individuals.

#### **2.1.1 *Employment conditions***

Employment condition for UI eligibility is 450 days of employment record in the last 24 months before unemployment. Eligibility is dependent on the involuntary of the unemployment status. An agreement settled with social partners in January 2012 will reduce this employment condition to 360 days (see point 12.2)

#### **2.1.2 *Contribution conditions***

The contribution condition coincides with the employment condition.

## **2.2 *Calculation of benefit amount***

### **2.2.1 *Calculation of gross benefit***

The benefit amounts to 65 per cent of the average salary during the 12 months period ending 2 months before unemployment. This calculation takes into account the annual vacation bonus and the Christmas bonus due in the reference period. The maximum benefit amount is the minor value between three times the IAS (Indexante dos Apoios Sociais – Social Support Index) or 75% of net reference remuneration; the minimum amount is the amount of the IAS or of the average remuneration (also referred to as reference remuneration), whichever is lower. The IAS amount in 2011 was EUR 419.22 per month. The unemployment benefit is paid on a monthly basis.

The social agreement settled in January 2012, introduces a reduction of the unemployment subsidy amount to 55% of reference remuneration after the first 6 months and lowers the maximum benefit amount to 2.5 times the IAS (or 75% of net reference remuneration if lower).

## **2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job***

The unemployment insurance benefit may be accumulated with part-time work or self-employment if the earnings from work are inferior to the UI amount. In these situations the UI benefit is equal to the difference between 1.35 times the unemployment benefit and the value of part-time work or self-employment earnings. UI cannot be accumulated with pensions of any kind.

The social agreement settled in January 2012, introduces a new policy for the accumulation of unemployment benefits will cover the following principles:

- The employer must pay the wages set under collective bargaining and the law;
- In certain cases, the unemployed worker who accepts a job offer whose remuneration is lower than its provision of unemployment benefits shall be entitled to the following benefits that encourage the acceptance of the work position, including:
  - i. 50% of unemployment benefits during the first six months, in compliance with certain limits;
  - ii. 25% of unemployment benefits in the following six months, in compliance with certain limits;
- The maximum duration of the policy for accumulation is 12 months;
- The work provided under this measure does not preclude the possibility of the beneficiary resuming unemployment benefits in case of termination, and the period of work performed with accumulation discounted within the general period in which the unemployment benefits are granted;
- This will not lead to a change in the concept of convenient employment

## **2.3 *Tax treatment of benefit and interaction with other benefits***

Not taxable.

During the period of subsidized unemployment (UI) a full-time working social contribution equivalent is registered for pension entitlement and accrual purpose. This means that during subsidized unemployment, individuals do not interrupt their contributory career and the reference earnings are registered as if actual wages were being received.

Unemployment insurance benefit is suspended whenever there is recognition of entitlement to the following benefits: benefit for medical risk during pregnancy; benefit for pregnancy interruption; initial parental benefit; initial parental benefit exclusive of the father; initial parental benefit exclusive of the mother; initial parental benefit assigned to a parent in case of the other parent impossibility; adoption benefit.

Those entitled to partial unemployment insurance benefit who are not covered by the benefits exposed above but are incapable to work due to sickness, childbirth or adoption have the right to receive the unemployment insurance benefit during the period of incapacity or impossibility to work.

## 2.4 *Benefit duration and waiting periods*

There is no waiting period. Duration increases with age and contributory record after the last subsidized unemployment spell according to the following table:

| Age     | Contributory career | Duration (days) | Extended duration                                                             |
|---------|---------------------|-----------------|-------------------------------------------------------------------------------|
| <30     | ≤24 months          | 270             | -                                                                             |
|         | >24 months          | 360             | 30 days for each group of 5 years of contributory record                      |
| 30 – 39 | ≤48 months          | 360             | -                                                                             |
|         | >48 months          | 540             | 30 days for each group of 5 years of contributory record in the last 20 years |
| 40 – 44 | ≤60 months          | 540             | -                                                                             |
|         | >60 months          | 720             | 30 days for each group of 5 years of contributory record in the last 20 years |
| 45+     | ≤72 months          | 720             | -                                                                             |
|         | >72 months          | 900             | 60 days for each group of 5 years of contributory record in the last 20 years |

If the individual doesn't use the extended duration that he/she is entitled to because he resumes work previously, the contributory career that wasn't used may be taken into consideration for the extended duration in the next unemployment spell.

There is no special condition for re-applying for UI, as eligibility is regained only by fulfilling a new period of 450 days of work with registered social contributions.

The social agreement settled in January 2012 defines the reduction of the concession periods of unemployment benefits for new employees. The maximum concession period will now be of 540 days, safeguarding the training rights of beneficiaries. It is also foreseen the possibility of exceeding the period of 540 days, depending on the age of the beneficiary and the number of months with registered wages in the period immediately preceding the date of unemployment, namely through an additional period for longer contributory career.

The process of reduction of the concession periods of unemployment benefits for current active employees, bearing in mind the following rules:

(i) Workers who benefit from an allowance period longer than that foreseen in previous paragraph maintain all the rights they now enjoy;

(ii) The workers entitled to an allowance period shorter than that foreseen in previous paragraph will progress up to the limits thereby specified;

## **2.5 Treatment of particular groups**

### **2.5.1 Young persons**

In the situation of offering an open-ended contract to workers in search of the first job there is a temporary exemption concerning the employers' contribution to social security. This exemption has a maximum duration of 36 months.

### **2.5.2 Older workers**

As presented in point 2.4, the UI duration increases with age.

Older workers on long-term unemployment have special conditions to access Old Age Pension. After exhausting the UI or the IUSA (see point 3):

- a 57 year old or older unemployed can apply for early retirement if he/she was 52 years old or more when became unemployed and he/she had at least 22 years of registered earnings when entered unemployment. In these cases the statutory pension amount is reduced by a factor of 0,5% by each month of anticipation until the age of 62.
- Early retirement is also possible if the long-term unemployed is aged 62 or older, was aged 57 or older when he/she became unemployed and has at least 15 years of registered earnings.

If unemployment is due to contract rescission by mutual agreement, the anticipated old-age pension has an additional reduction  $[(1-(n * 3\%))$ , in which  $n$  is the number of years of anticipation between 62 and 65 years old] which is revoked when the pensioner reaches the age of 65.

### **2.5.3 Others if applicable**

#### ***Parent workers with resident dependent children***

The social agreement settled in January 2012 defines that unemployed couples with dependent children are entitled to an increase of 10% in the amount of UI:

- a) If both members of a couple with dependent children receive unemployment insurance
- b) If lone parent receive employment insurance and there's no right to alimony legally set by the Court.

#### ***Long-term unemployed***

In the situation of offering an open-ended contract to long-term unemployed there is a temporary exemption concerning the employers' contribution to social security. This exemption has a maximum duration of 36 months.

### **3. Unemployment assistance**

The Unemployment Social Allowance (USA) is flat-amount benefit aimed at protecting the unemployed individuals in two situations. Firstly, recently unemployed persons that do not fulfil the eligibility condition necessary to access UI may be entitled to the Initial Unemployment Social Allowance (IUSA). Secondly, unemployed individuals that exhausted the maximum duration of UI may be entitled to the Subsequent Unemployment Social Allowance (SUSA).

USA duration is related to age of the claimant (see 3.4).

#### **3.1 Conditions for receipt**

For receiving the initial Unemployment Social Allowance (USA), claimants have to be between 18 and 65 years of age and have to be registered unemployed looking for work and available for work. Additionally, the Unemployment Social Allowance may be renewed until the age of pensionable age anticipation is reached, provided that: *i)* when unemployment begins the insured person is aged 52 or over; *ii)* by the time of its renewal the insured person continues to meet the qualifying conditions for the Unemployment Social Allowance.

The USA entitlement is a means-tested benefit, as the monthly income *per capita* of the claimant's household cannot exceed 80% of IAS. The monthly income *per capita* results from the sum of all monthly household income divided by adult-equivalent household dimension Original OECD Equivalence Scale (First adult = 1; Other adults = 0.7; Child(ren) = 0.5). In addition the household financial wealth cannot exceed 240 times the IAS (€ 100,612.80 in 2011).

The USA entitlement is dependent on the continuous involuntary nature of unemployment status. The job-search conditions for becoming and remaining entitled to the USA are similar to the ones applied to the UI (see 2.1 and 12.1).

##### **3.1.1 Employment conditions**

The employment conditions for entitlement to USA are: to have had an employment with work contract, to have become unemployed unwillingly and to be registered at the Local Employment Centre. In addition, this benefit is means tested, which means that the beneficiary must prove that the household earns less than 80 percent of IAS per capita (see previous point).

Additionally, the claimant cannot have any dependent work and cannot earn monthly more than 50% IAS from self-employment.

##### **3.1.2 Contribution conditions**

The claimant must have worked as an employee with registered social contributions for 180 days in the year previous to unemployment.

### **3.2 Calculation of benefit amount**

#### **3.2.1 Calculation of gross benefit**

Benefit amounts per month are linked to the IAS and depend on family type:

| Family type       | In % of IAS      |                     |
|-------------------|------------------|---------------------|
|                   | After UI benefit | Not eligible for UI |
| Single            | 80               | 80                  |
| With an aggregate | 100              | 100                 |

##### **3.2.1.1 Irregular additional payments [NEW ITEM]**

##### **3.2.1.2 Obligations of family members [NEW ITEM]**

#### **3.2.2 Income and earnings disregards for benefit recipients and those starting a new job**

The claimant cannot have earning from work and/or pensions.

### **3.3 Tax treatment of benefit and interaction with other benefits**

Not taxable. For pension entitlements, the reference earnings are registered as if actual wages in the case of Initial USA while the previous amount of UI is registered in the case of Subsequent USA.

### **3.4 Benefit duration and waiting periods**

Regarding the beneficiaries of the initial Unemployment Social Allowance the duration is identical to point 2.4. Concerning the sequential Unemployment Social Allowance the duration is reduced to half the duration indicated in point 2.4. As to Unemployment Social Allowance to be paid subsequently its duration may be extended until the age of anticipated pension is reached (as stated under 3.1 above).

### **3.5 Treatment of particular groups**

#### **3.5.1 Young persons**

Similar to point 2.5.1

#### **3.5.2 Older workers**

Similar to point 2.5.2 – The Unemployment Social Allowance duration can be extended until the retirement age if the beneficiaries are at least 52 years old at the moment of unemployment and fulfill, at the time of the extension, all the conditions necessary to receive this benefit.

### 3.5.3 *Others if applicable*

#### *Parent workers with resident dependent children*

## **4. Social assistance**

The Social Insertion Income (formerly Minimum Guaranteed Income) is focused to support individuals or families in situations of great economic need. The Social Insertion Income (SII) is both a benefit, part of the Social Welfare sub-system of the Public Social Security System, and an insertion programme, with an aim to provide individuals and their households with the means tailored to satisfy their basic needs and allow for a progressive insertion in the labour market, the community and society.

### **4.1 Conditions for receipt**

For entitlement it is required legal residency in Portugal, the subscription and fulfilment of the Insertion Programme established, to provide evidence for the situation of great economic need and to have at least 18 years of age. There are exceptions to the age condition: if there are dependant minors or in case the entitled individual is pregnant.

Great economic need is recognized in the following situations:

- Individuals whose income is inferior to 100% of the social pension, which was EUR 189.52 per month in 2011 .
- Households whose income is inferior to the sum of the following amounts:
  - a) 100% of the welfare pension for the first adult;
  - b) 70% of the welfare pension for each other adult;
  - c) 50% of the welfare pension for each minor.
- The claimant and household members, at the time he submits the application, cannot own assets (Bank accounts, shares, investment funds, etc.) worth more than €100.612,80 (it corresponds to 240 times the value of the IAS);

For SII purposes the calculation of the household income results from the sum of all the income sources (gross income) in the month previous to the requirement (or the average of the 3 months previous to the requirement in case of independent workers or workers with variable wages), excluding the housing subsidy, family benefits and scholarships. In addition only 80% of labour income after deduction of the contributions to social security is considered to that purpose.

Beginning on the 1<sup>st</sup> of August the SII has a new equivalence scale for means-test purposes: 100% - 1 adult, 70% - other adults and 50% - children). Also on this date a more comprehensive definition of household composition and reference income was implemented. Accordingly the following income is taken into account:

- ✓ gross income from work earnings (as employees and/or as self-employed)
- ✓ gross income from capital
- ✓ gross income from property
- ✓ income from pensions
- ✓ income from social benefits
- ✓ regular housing benefits
- ✓ scholarships and training grants

The value of the IAS will change each year according to a set of pre-established rules (for example: the IAS will increase in line with the consumer price index if real GDP growth is less than 2%, or higher than consumer price index if GDP growth is equal or higher than 2%). However this rule was not applied exceptionally in 2010 and 2011.

Starting in August 2010, if an individual becomes voluntarily unemployed, he/she can only claim the Social Insertion Income entitlement after one year of unemployment.

## **4.2 Calculation of benefit amount**

### **4.2.1 Calculation of gross benefit**

The amount of the benefit equals the difference between the individuals/household income and the amount of the SII, calculated according the rules above described. The amount of the benefit must never be inferior to 5% of the welfare pension.

#### **4.2.1.1 Irregular additional payments**

#### **4.2.1.2 Obligations of family members**

The Insertion Programme must be established no later than 60 days after granting the benefit of social integration income (SII). SII payment ends if individuals do not accomplish the insertion program.

If an adult household member other than the entitled person does not comply with the labour insertion program (or insertion programme), that person will be excluded from the household composition for the purpose of determining the “household adult equivalent dimension”, but all income or earnings received by that family member will still be considered for the means test.

If the entitled person or beneficiary of the SII refuses, without a valid justification, the actions or measures of the insertion programme such as the offer of convenient work, socially necessary work or professional formation will determine the end of the benefit for that person.

When addressing family situation for eligibility for Social Insertion Income there are some situations where an inactive situation of an adult member may not be considered as non-compliance with job-search obligations, namely due to health issues or family responsibilities (assistance to a third family member with special needs), both certified by a medical authority. So, on the one hand, if in an initial situation the inactive status of a second adult member is accepted as necessary that person is considered as a beneficiary with no changes in the calculations. On the other hand, if there is a job-search program signed by that second adult and there is non-compliance behaviour, then changes in the benefit amount do occur. This case is used in the model.

### **4.2.2 Income and earnings disregards for benefit recipients and those starting a new job**

Only 80% of labour income after deduction of the contributions to social security is considered for the calculation of the benefit amount.

If the entitled individual or a member of his/her family starts a new job during the receipt of the SII, only 50% of that job income obtained in the first 12 months of work is considered for the calculation of the SII benefit amount after deduction of contributions to social security. In both cases, holiday and Christmas bonus must be considered in terms of SII calculation.

Reference date for all information is July 1<sup>st</sup> 2011

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If the entitled individual or a member of his/her family develop occupational activities of social interest in employment programs, 80% of the allowance received are treated as income from work and considered for the calculation of the benefit amount.

#### **4.3      *Tax treatment of benefit and interaction with other benefits***

Not taxable.

#### **4.4      *Benefit duration and waiting periods***

Starting from the July the eligibility to this benefit ceases to be automatic, as a reassessment of eligibility conditions is made during the month of renewal.

#### **4.5      *Treatment of particular group***

##### **4.5.1      *Young persons***

##### **4.5.2      *Older workers***

##### **4.5.3      *Others if applicable***

### **5.      *Housing benefits for rented accommodation***

Regarding housing benefits, the State supports directly families through three ways: i) the rent subsidy – aimed at the most economical needed households whose housing has been submitted to an extraordinary actualization; ii) the young adults rent incentive; iii) the supported rent regime – social renting of houses built/owned by the State.

In 1985, the DL 46/85 established the possibility of unfreezing the rent actualization, by prescribing a principle of annual actualization of all rents, according to the values determined in an annual legal diploma and allowing the extraordinary correction of the rents frozen before 1980.

The rent subsidy can be divided in three categories: the General Regime, the Special Subsidy for Handicapped Renters (for renters with incapability equal or superior to 60%) and the Special Needs Subsidy (renters receiving one of the fore mentioned subsidies whose economic situation has experienced severe and sudden deterioration in terms of household income, namely due to unemployment or death of family earner).

A special program of Real Estate Investment Funds for Rental Purpose was introduced in 2009 for people with house credit who can't afford the mortgage. Tenants have the option right to re-buy the house, until 31 of December of 2020. Additionally, a temporary support was introduced in 2009 to unemployed people giving them the right to reduce temporarily (maximum of 24 months) the costs of housing mortgage by 50%. At the end individuals must support the whole cost of credit.

### 5.1 *Conditions for receipt*

The eligibility is granted to renters who suffered an extraordinary correction of the rent value, as long as the household income and rents respect the limits set in an annually published table.

### 5.2 *Calculation of benefit amount*

The calculation framework in the general regime is based on the rent value, the monthly gross income and the household dimension. The model establishes an equivalence between the income of households with different dimensions, calculating a standard reference income according to the average dimension of the families.

The process to compute the subsidy amount is based in the methodology used to determine annually the maximum limit for rent – which corresponds to the maximum of rent that can be subsidized, according to each household dimension – and also in a function that establishes the effort rate for each level of income.

#### *Standard Income*

The household standard income is calculated as follows:

Standard income = [ 2,40 / f(n) ] x monthly gross income

f (n) is the equivalence factor regarding the income of household with different dimensions, according to the table below. The figure 2.4 is the f(n) value which corresponds to the average Portuguese household.

| Household dimension (number of individuals) | f(n)  |
|---------------------------------------------|-------|
| 1                                           | 1     |
| 2                                           | 1.75  |
| 3                                           | 2.4   |
| 4                                           | 3     |
| 5                                           | 3.575 |
| 6                                           | 4.11  |
| 7                                           | 4.62  |
| 8                                           | 5.12  |
| 9                                           | 5.625 |

Reference date for all information is July 1<sup>st</sup> 2011

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|    |     |
|----|-----|
| 10 | 6.1 |
|----|-----|

#### *Maximum rent limit*

The maximum rent limit is determined according to the suitability of the house regarding the household dimension, the rent rate and the housing prices by square meter of useful area. These parameters are legally defined.

The limits for 2010 are as follows:

| <b>Household dimension (number of individuals)</b> | <b>Rent Limit (Euro)</b> |
|----------------------------------------------------|--------------------------|
| 1                                                  | 103,86                   |
| 2                                                  | 144,26                   |
| 3                                                  | 167,34                   |
| 4                                                  | 187,53                   |
| 5                                                  | 210,62                   |
| 6                                                  | 225,04                   |
| 7                                                  | 236,58                   |
| 8                                                  | 259,66                   |
| 9                                                  | 285,63                   |
| 10                                                 | 302,94                   |

#### *Base Rent*

The base rent is computed by applying a percentage to the gross monthly income of the household, as described by the following formula:

$$p = 10 \times R_p / NMW$$

$R_p$  represents the standard income;  $p$  represents the percentage.

#### *5.2.1 Calculation of gross benefit*

The benefit is calculated as follows:

- a) if the rent is superior to the rent limit:

$$S = 0,5 \times (R_l - R_b)$$

b) if the rent is equal or inferior to the rent limit:

$$S = 0,5[1 + [(R_l - R) / (R_l - R_b)] \times (R - R_b)]$$

R stands for rent;  $R_l$  stands for rent limit;  $R_b$  stands for base rent and S stands for subsidy.

### 5.2.2 *Income and earnings disregards*

The beneficiary loses entitlement whether:

- a) The standard income is superior to three times the NMW;
- b) The base rent is superior to the rent limit;
- c) The rent is inferior to the base rent.

### 5.2.3 *Costs eligible for housing benefits*

## 5.3 *Tax treatment of benefit and interaction with other benefits*

## 5.4 *Treatment of particular groups*

### 5.4.1 *Young persons*

### 5.4.2 *Older workers*

### 5.4.3 *Others if applicable*

## 6. **Family benefits**

### 6.1 *Conditions for receipt*

Requirements for entitlement: national or foreign, refugees or stateless children resident in Portugal; with no professional occupation; whose household has reference earnings below the maximum income level; and until the following ages:

- 16 years old;
- Or to the maximum of 24 years of age if enrolled in the school, university, professional training or other training periods, or in case of handicapped children receiving social benefits

(this limit may be extended for 3 years in case of accident or disease hampering the school performance of the beneficiary);

## 6.2 *Calculation of benefit amount*

### 6.2.1 *Calculation of gross benefit*

Benefits are paid based on age and income. The rules since October, 2003 are as follows: there are two age groups for dependent children: children aged 12 months or less, and children older than 12 months. There are also 4 levels of income (related to the IAS). The benefit is paid on a monthly basis.

The 'income level' is calculated by adding gross earned income, self-employment income, capital and real estate income, pensions, and any other benefit aiming to replace lost income from work granted by the Solidarity or Insurance Subsystem (including UI, USA, and SII). Any social benefit granted by the Family Protection Subsystem is not considered. This sum is then divided by the number of children in the family, plus one.

| Income Level | Reference remunerations related to the IAS |
|--------------|--------------------------------------------|
| First        | $\leq 0,5$ IAS                             |
| Second       | $> 0,5$ IAS to $\leq 1$ IAS                |
| Third        | $> 1$ IAS to $\leq 1,5$ IAS                |
| Fourth       | $> 1,5$ IAS                                |
|              |                                            |
|              |                                            |

- Level 1: Families whose reference income is under 50 per cent of 14 times the reference value (i.e. under EUR 2 934.54);
- Level 2: Families whose reference income is over 50 per cent and under 100 per cent of 14 times the reference value (i.e. over EUR 2 934.54 and under EUR 5 869.08);
- Level 3: Families whose reference income is over 100 per cent and under 150 per cent of 14 times the reference value (i.e. over EUR 5 869.08 and under EUR 8 803.62);
- Level 4: Families whose reference income is over 150 per cent of 14 times the reference value (i.e. over EUR 8 803.62);

The family allowance is paid on a monthly basis. An additional monthly amount is payable in September to families on the first income level to compensate for the costs of education with the children and young people provided that they are aged between 6 and 16 years and are enrolled in school.

The reference remunerations comprise the sum of all income from each member of the household divided by the number of children of that household that benefit from the family allowance plus 1. The following sources of income are considered:

- Income from work (employee);
- Professional and business income;
- Capital income;
- Land income;
- Pensions;

- Any other social benefits that aim to replace the lost income from work granted by the Solidarity or Insurance Subsystem.

The monthly amounts (Euros) per child in 2011 were:

| Income level | Age ≤ 12 months | Age > 12 months |
|--------------|-----------------|-----------------|
| First        | 140.76          | 35.19           |
| Second       | 116.74          | 29.19           |
| Third        | 92.29           | 26.54           |
| Fourth       | 0               | 0               |

#### 6.2.1.1 *Irregular additional payments*

#### 6.2.2 *Income and earnings disregards*

The beneficiaries (children) of the family allowance can't accumulate these allowances with earned income.

### 6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

### 6.4 *Treatment of particular groups*

#### 6.4.1 *Young persons*

Children aged between 12 months and 36 months (inclusive) are entitled to double the Family Allowance amount if living in families with 2 children or to triple the Family Allowance amount if living in families with 3 or more children.

| Income level | 2 children entitled | 3 children or more entitled |
|--------------|---------------------|-----------------------------|
| First        | 35.19               | 70.38                       |
| Second       | 29.19               | 58.83                       |
| Third        | 26.54               | 53.08                       |
| Fourth       | 0                   | 0                           |

#### 6.4.2 *Older workers*

#### 6.4.3 *Others if applicable*

Pregnant women are entitled to pre-natal family benefit from the 13<sup>th</sup> week onwards.

| Income level | Pre-Natal Family Benefit |
|--------------|--------------------------|
| First        | 140.76                   |
| Second       | 116.74                   |
| Third        | 92.29                    |
| Fourth       | 0                        |
| Fifth        | 0                        |

Lone-parent families are entitled to an increase of 20% on the family allowance in the following conditions:

- ♦ children and young persons living with only one relative or in-laws in a direct line or collateral line until the second degree or equivalent and
- ♦ pregnant women (from the 13th week of pregnancy onwards) entitled to pre-natal family benefit and living alone or living only with children and young persons entitled to family benefit.

The family allowance may be increased in case the child is handicapped.

- Eligibility conditions the children: to be handicapped and less than 24 years old and:
  - ♦ Be enrolled or qualify for enrolment in a specialized rehabilitation equipment, or;
  - ♦ In need of personalized medical or educational support.

The amount added to the family allowance varies according to the age of the child. These are paid on a monthly basis.

#### Monthly amounts (in Euros)

|                                      | 2011   | 2011 Lone parent families |
|--------------------------------------|--------|---------------------------|
| <b>Until 14 years of age</b>         | 59.48  | 71.38                     |
| <b>From 14 until 18 years of age</b> | 86.62  | 103.94                    |
| <b>From 18 to 24 years of age</b>    | 115.96 | 139.15                    |

If the handicapped child lives in a Lone-parent family, these amounts are accrued by 20%.

Students under 18 years old enrolled in upper secondary school who benefit from the 1<sup>st</sup> or 2<sup>nd</sup> income level of family allowance are also entitled to a scholarship in the amount of two times the value of the family allowance. Starting from January 2011, this scholarship amount is equal to the value of the family allowance.

#### 6.4.4. Parental Leave Scheme

Parents with registered remuneration in the compulsory social insurance scheme are entitled to receive parental leave benefits (Protecção Social na Parentalidade). In specific situations, workers without compulsory social insurance who pay the voluntary social insurance (Seguro Social Voluntário) are also entitled to these benefits (for instance, scientific research fellows).

The parental leave scheme includes the following situations:

- Medical risk during pregnancy
- Pregnancy interruption
- Parenting
- Adoption
- Specific risks
- Child assistance in case of illness or accident
- Disabled or chronically ill child assistance
- Grandchild assistance

Each one of these situations corresponds to one or more benefits as described in the next table:

| Parental Leave Scheme Benefits            |                                                      | Daily amount (% of the reference income) <sup>(1)</sup> and Duration                                 |                                     |
|-------------------------------------------|------------------------------------------------------|------------------------------------------------------------------------------------------------------|-------------------------------------|
| Benefit for medical risk during pregnancy |                                                      | 100% - without limit of time since medically certified                                               |                                     |
| Benefit for pregnancy interruption        |                                                      | 100% from 14 to 30 days                                                                              |                                     |
| Parenting or Adoption                     | Parental benefit or Adoption benefit <sup>(2)</sup>  | <i>Parents don't share the leave</i>                                                                 | <i>Parents share the leave</i>      |
|                                           | i) Initial parental benefit <sup>(3)</sup>           | 100% in case of 120 days                                                                             | 100% in case of 150 days (120 + 30) |
|                                           |                                                      | 80% in case of 150 days                                                                              | 83% in case of 180 days (150 + 30)  |
|                                           | ii) Initial parental benefit exclusive of the mother | 100% - 30 days of optional leave before birth and 6 weeks (42 days) of compulsory leave after birth. |                                     |
|                                           | iii) Initial parental benefit                        | 100% - 10 days of compulsory leave (5 immediately after birth plus 5 in the first 30 days)           |                                     |

|                                                         |                                                        |                                                                                                                                                                                                       |
|---------------------------------------------------------|--------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                         | exclusive of the father                                | plus 10 day of optional leave.                                                                                                                                                                        |
|                                                         | Extended parental benefit or Extended adoption benefit | 25% - 3 months for each parent of untransferable leave (maximum 6 months)                                                                                                                             |
| Specific risks benefit                                  |                                                        | 65% - for the time considered necessary during pregnancy and/or breastfeeding if women work at night or are exposed to professional risk(s).                                                          |
| Child assistance in case of illness or accident benefit |                                                        | 65% - maximum of 30 days/year if the child has less than 2 years or 15 days if the child has more than 12 years                                                                                       |
| Disabled or chronically ill child assistance benefit    |                                                        | 65% (maximum of 2 times the amount of IAS/month) - 6 months (maximum) with extension possibility until 4 years                                                                                        |
| Grandchild assistance benefit                           |                                                        |                                                                                                                                                                                                       |
| i)                                                      | Grandchild birth assistance <sup>(4)</sup>             | 100% - 30 days of leave after the grandchild birth                                                                                                                                                    |
| ii)                                                     | Grandchild assistance                                  | 65% - remaining days not used by parents under the child assistance benefit (maximum of 30 days/year). If the grandchild suffers from disability or chronicle disease child age limit is not applied. |

Notes: (1) Christmas and holidays allowances included. Minimum amount equals 80% of 1/30 of the IAS.

(2) The same rules applies also to the Initial Parental Benefit in the event of one of the parents being prevented from taking the leave (by death or physical or mental incapacity of one of the parents).

(3) Duration includes exclusive parental leave of the mother and of the father.

(4) Grandchild birth assistance is valid just if grandparent's child has less than 16 years and lives in the same household.

#### 6.4.4.1. Conditions for receipt

Eligibility is granted to employees and self-employed residing in Portugal with at least 6 months (consecutive or not) of compulsory contributory record for the general social security scheme.

#### 6.4.4.2 Calculation of benefit amount

The daily amount of benefits is paid according to the reference income of the beneficiary in the 6 months of registered earnings before the fact (birth), calculated as follows:  $R/180$  in which R corresponds to the total amount of income received during the first 6 months of the last 8 months prior to the birth and 180 to the number of available days in 6 months.

However, if the beneficiary does not have 6 months of registered earnings before the fact, the daily amount of benefits are calculated as follows:  $R/(30 \times n)$  in which R equals the total amount of income received and n equals the number of months.

The minimum amount of these benefits cannot be less than 80% of 1/30 of the IAS nor it can be less than 40% of 1/30 of the IAS in case of extended parental benefit.

#### 6.4.4.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

During the period of subsidized parental leave and associated benefits a full-time social contribution equivalent is registered for pension entitlement. Beneficiaries do not interrupt their contributory career and the reference earnings are registered as if actual full-time wages were being received.

Parental leave scheme benefits cannot be accumulated with unemployment benefits and other social benefits with the exception of Disability, Old Age and Survivor's Pension, Social Insertion Income and Solidarity Supplement for the Elderly. During the social parental benefit/social adoption benefit the unemployed insurance is suspended until the term of these benefits.

In case of illness those entitled to parental leave, extended parental leave, adoption, disabled or chronically ill child assistance have the right to suspend the benefit.

#### 6.4.5. Social Parental Benefits

Parents without the necessary contributory career are protected by the new social parental protection scheme. The benefit, introduced for the first time in 2008, institutionalizes the right of almost all parents to a means-tested parental protection scheme independently of their working condition.

The social parental benefits include the following situations:

- Social benefit for medical risk during pregnancy
- Social benefit for pregnancy interruption
- Social parental benefit
- Social benefit for adoption
- Social benefit for specific risks

Each one of these situations corresponds to one or more benefits as described in the next table:

| Social Parental Benefits                                   | Daily amount (% of 1/30 of the IAS) and Duration       |                                                                                                                    |
|------------------------------------------------------------|--------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|
| Social benefit for medical risk during pregnancy           | 80% as long as necessary since medically certified     |                                                                                                                    |
| Social benefit for pregnancy interruption                  | 80% from 14 up to 30 days                              |                                                                                                                    |
| Social Parental Benefit or Adoption Benefit <sup>(1)</sup> | <i>If parents don't share leave</i>                    | <i>If parents share leave</i>                                                                                      |
| i) Initial social parental benefit <sup>(2)</sup>          | 80% in case of 120 days<br><br>64% in case of 150 days | 80% in case of 150 days (120 + 30) or (120 + 15 + 15)<br><br>66% in case of 180 days (150 + 30) or (150 + 15 + 15) |

|                                                              |                                                                                                                                  |
|--------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| ii) Initial social parental benefit exclusive of the mother  | 80% during 30 optional days before birth and 6 compulsory weeks, 42 days, after birth.                                           |
| iii) Initial social parental benefit exclusive of the father | 80% during 10 compulsory days (5 immediately after birth plus 5 in the first 30 days) plus 10 optional days                      |
| Social Specific Risks Benefit                                | 80% as long as necessary during pregnancy or breastfeeding for women who work at night or who are exposed to professional risks. |

Notes: (1) The same rules applies also to the Initial Parental Benefit in the event of one of the parents being prevented from taking the leave

(2) Duration includes exclusive social parental leave of the mother and of the father.

#### 6.4.5.1 Conditions for receipt

Citizens residing in Portugal in a situation of economic hardship (including foreigners, refugees and stateless persons) and who, as a consequence of the absence or inadequacy of their contribution record in the compulsory protection scheme or due to lack of entitlement to the corresponding allowances of the general social security scheme, cannot benefit from the protection assigned to employees and self-employed.

| Social Parental Benefits                         | Less than 80% <i>per capita</i> of the IAS | Unemployed with less than 80% <i>per capita</i> of the IAS |
|--------------------------------------------------|--------------------------------------------|------------------------------------------------------------|
| Social benefit for medical risk during pregnancy | x                                          |                                                            |
| Social benefit for pregnancy interruption        | x                                          |                                                            |
| Social parental benefit                          | x                                          | x                                                          |
| Social adoption benefit                          | x                                          | x                                                          |
| Social specific risks benefit                    | x                                          |                                                            |

#### 6.4.5.2 Calculation of benefit amount

Access is means-tested, as defined in relation to monthly per capita income of the household, which may not exceed 80% of the value of the IAS (Social Support Index).

The daily amount of social parental benefit is index-linked to the value of the IAS, corresponding to 80% x 1/30 the value of this index reference (€419,22 in 2010). Social parental benefit is equal to 64% x 1/30 of the value of the IAS in case the beneficiary opted for the 150 days' parental leave. The social benefits for medical risk during the pregnancy, pregnancy interruption and for specific risks correspond to 80% x 1/30 the value of this indexing reference.

#### 6.4.5.3 Tax treatment of benefit and interaction with other benefits

Social benefits are not subject to taxation.

Social benefits cannot be accumulated with unemployment benefits and other social benefits with the exception of Survivor's Pension, Social Insertion Income (formerly minimum guaranteed income) and Solidarity Supplement for Old Persons. During the social parental benefit/social adoption benefit the unemployed insurance is suspended until the term of these benefits.

The duration of these benefits corresponds, in general terms, to that of parental leave scheme paid under the general social security system. (see table above Social Parental Benefits)

## 7. Childcare for pre-school children

In what concerns children aged 0-2 years old, the fraction of children attending crèches is higher in children with 2 and 1 year old whilst children aged 1 year and less have the higher fraction of children attending childminders.

The coverage rate in childcare (below 3 years old) is 33% per cent (2009).

Percentage of children in childcare by age (2008)

| Type of Childcare | <1 years | 1 years | 2 years | 3 years |
|-------------------|----------|---------|---------|---------|
| Creche            | 12.9     | 21.0    | 27.5    | 2.7     |
| Childminder       | 0.9      | 1.7     | 1.9     | 0.9     |

Although Pre-School Institutions are primarily directed to children aged 3 to 5 years old, children aged 2 years old may enrol in September if they complete 3 years until 31 of December. Priority in access is giving to the most aged children.

Percentage of children in Pre-school by age (2007/2008)

|            | 3 years | 4 years | 5 years | 6 years |
|------------|---------|---------|---------|---------|
| Pre-school | 63.0    | 81.3    | 92.0    | 2.6     |

Compulsory schooling begins at the age of 6, although children aged 5 years old may enrol in September if they complete 6 years until 31 of December.

### 7.1 Out-of-pocket childcare fees paid by parents

The rules for fees to be paid for using childcare services provided by public or non-profit organizations (the latter also called IPSS) are the following:

The family fee is determined through a percentage over the *per capita* income of the household as shown in the table below:

| Services and equipments                                | Income tiers |       |       |       |       |       |
|--------------------------------------------------------|--------------|-------|-------|-------|-------|-------|
|                                                        | 1st          | 2nd   | 3rd   | 4th   | 5th   | 6th   |
| <i>Crèche, childminder and family crèches</i>          | 15%          | 22.5% | 27.5% | 30%   | 32,5% | 35%   |
| <i>ATL (Free-Time Activity Centres – without meals</i> | 5%           | 7%    | 10%   | 12.5% | 15%   | 15%   |
| <i>ATL (Free-Time Activity Centres) – with meals</i>   | 12.5%        | 15%   | 17.5% | 20%   | 22.5% | 22.5% |
| <i>Children's Home</i>                                 | 40%          | 45%   | 50%   | 50%   | 55%   | 75%   |

The maximum family fee calculated according to these rules cannot be higher than the real average cost (including administration expenses) per user of the service in question. The estimate of the real average cost amounted to around EUR 345 per month in 2009.

#### Family fees

Reduction of the family fee:

- 20% reduction in case more than one individual from the same household uses the same establishment;
- 25% reduction in the following cases:
  - When meals are not provided by the establishment or if the user doesn't benefit from it;
  - When justified absent periods exceed 15 days non interpolated.

The institutions may reduce, suspend or excuse the payment of the family fee in special cases in which a careful socio-economic analysis of the household condition concludes that the household cannot afford those fees.

The calculation of the per capita income is made according to the following formula:

$R = (RF-D)/N$ , being

R = per capita income

RF = gross monthly household income (sum of all household income/12). The Holidays and Christmas subsidies (i.e. the 2 extra monthly wages – each Portuguese worker usually receives 14 wages during a year of work) are not considered as part of the “gross monthly household income” for this purpose.

Reference date for all information is July 1<sup>st</sup> 2011

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

D = fixed expenses (these include tax, social contributions, house rent or mortgage payment, average monthly cost related to public transportation, medicine expenses when related to chronic illnesses<sup>2</sup>)

N = number of individuals of the household

Per capita income tiers as a percentage of the National Minimum Wage (NMW), used for calculation of the family/user fee:

|                 |                              |
|-----------------|------------------------------|
| <i>1st tier</i> | Until 30% of NMW             |
| <i>2nd tier</i> | Between 30% and 50% of NMW   |
| <i>3rd tier</i> | Between 50% and 70% of NMW   |
| <i>4th tier</i> | Between 70% and 100% of NMW  |
| <i>5th tier</i> | Between 100% and 150% of NMW |
| <i>6th tier</i> | Over 150% of NMW             |

The family fees are generally annually revised and the amounts are legislated.

Childcare fees for crèches and kindergartens are considered as educational/training expenses for tax purposes. As so, 30% of household educational expenses are tax deductible to the limit of 160% of the NMW. In case the household has 3 or more dependents, this limit is increased by an amount correspondent to 30% of the NMW for each dependent, in case all of them have educational/training expenses.

## 7.2 *Child-care benefits*

There are no cash benefits received by parents for children in childcare. Nevertheless, indirect support is provided as most childcare institutions (Crèches: non-profitable organizations) receive State Support through Cooperation Agreement and in return they must provide priority in access to children of low income families and comply with the above mentioned rules for family fee calculation. Nannies can also benefit from these arrangements.

In 2009 and 2010, the State supported most non-profitable organizations with a monthly amount of €239.85 per child. Nannies are entitled to a State per child monthly support of €179.94 for the 1<sup>st</sup> and 2<sup>nd</sup> children and €201.54 for the 3<sup>rd</sup> and the 4<sup>th</sup>. If the nanny has solely one child with disability she receives €359.88 monthly and if the nanny has more than one child with at least one child with disability the per child monthly support increases to €403.07. Additionally, nannies and non-profitable crèches supported by the State receive the family fee according to the family socio-economic conditions as referred above. Childcare fees are not taken into account for social assistance.

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<sup>2</sup> These two last expenses (public transport and health) may be subject to a maximum limit, which cannot be less than the NMW.

Reference date for all information is July 1<sup>st</sup> 2011

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7.2.1        *Conditions for receipt*

7.2.2        *Calculation of benefit amount*

7.2.2.1    *Calculation of gross benefit*

7.2.2.2    *Income and earnings disregards*

7.2.3        *Tax treatment of benefit and interaction with other benefits*

7.2.4        *Treatment of particular groups*

Reference date for all information is July 1<sup>st</sup> 2011

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

## **8. Employment-conditional benefits**

Illness subsidy; Leave for assistance of depend children and family members; Parental Leave; Occupational diseases.

### **8.1 Conditions for receipt**

### **8.2 Calculation of benefit amount**

#### **8.2.1 Calculation of gross benefit**

### **8.3 Tax treatment of benefit and interaction with other benefits**

### **8.4 Benefit duration**

### **8.5 Treatment of particular group**

#### **8.5.1 Young persons**

#### **8.5.2 Older workers**

#### **8.5.3 Others if applicable**

## **9. Lone-parent benefits**

There are no specific benefits for lone-parent families. However, several existent benefits have special conditions or benefit amounts for lone-parents (e.g. Family Allowances).

### **9.1 Conditions for receipt**

### **9.2 Calculation of benefit amount**

#### *9.2.1 Calculation of gross benefit*

##### *9.2.1.1 Irregular additional payments [NEW ITEM]*

#### *9.2.2 Income and earnings disregards*

### **9.3 Tax treatment of benefit and interaction with other benefits**

### **9.4 Benefit duration**

### **9.5 Treatment of particular group**

#### *9.5.1 Young persons*

#### *9.5.2 Older workers*

#### *9.5.3 Others if applicable*

## 10. Tax system

The tax unit is the family. Family income includes the income of any dependent children. Tax is computed on aggregate net income in the various categories of income, *i.e.* after the deductions specific to each category and standard and non-standard reliefs.

### 10.1 Income tax

#### 10.1.1 Tax allowances and credits

##### 10.1.1.1 Standard allowances

Standard deduction of 72 per cent of 12 times the Social Benefit Index (the 2010 highest monthly minimum wage until the index reaches this value).<sup>3</sup>If compulsory contributions to social protection schemes and statutory sub-schemes for health care exceed that limit, the deduction will equal the amount of those contributions.

A deduction is provided for the portion of trade union dues not constituting consideration for benefits in the realm of health care, education, assistance for the elderly, housing, insurance or social security, up to 1 per cent of the taxpayer's gross income, increased by 50 per cent. These dues are not taken into account in the modelling.

##### 10.1.1.2 Standard tax credits

Basic credits:

- EUR 261.25 for each unmarried taxpayer or for each spouse;
- EUR 380.00 for a taxpayer in a single-parent family;
- EUR 190.00 for each dependent child; This tax credit is doubled for dependent children whose age does not exceed 3 years old.
- EUR 261.25 for each ascendant whose income does not exceed the minimum pension benefit. When there is only one ascendant, the tax credit is EUR 403.75.

Other tax credits

- 
- Rent paid by a tenant, for his permanent residence under an agreement typified by the law, up to EUR 591. This limit is increased by 10 per cent if the building is duly certified as 'most efficient' in what concerns energy use (categories A or A+). This limit is also increased by 50 per cent for

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3. The corresponding amount equals EUR 4 104.00 (72 per cent x 12 x EUR 475.00).

taxpayers in the first two tax rate brackets, by 20 per cent for taxpayers in the third tax rate bracket and by 10 per cent for taxpayers in the fourth tax rate bracket.

### 10.1.2 *Income tax schedule (central government income tax)*

To determine taxable income, to which the rates listed in the tax schedule are applied, income is divided by 2.

#### *Tax rate schedule (applicable to 2011 income)*

| Taxable income<br>(EUR)<br>(R) | Marginal tax rate (%)<br>(T) | Amount to deduct<br>(EUR)<br>(K) |
|--------------------------------|------------------------------|----------------------------------|
| Up to 4 898                    | 11.50                        | ---                              |
| Over 4 898 up to 7 410         | 14.00                        | 122.45                           |
| Over 7 410 up to 18 375        | 24.50                        | 900.50                           |
| Over 18 375 up to 42 259       | 35.50                        | 2 921.75                         |
| Over 42 259 up to 61 244       | 38.00                        | 3 978.23                         |
| Over 61 244 up to 66 045       | 41.50                        | 6 121.77                         |
| Over 66 045 up to 153 300      | 43.50                        | 7 442.66                         |
| Over 153 300                   | 46.50                        | 12 041.67                        |

In the case of taxpayers whose income stems primarily from dependent employment (earned income), disposable income after application of the tax rates to taxable income may not be less than 120 per cent of the national minimum wage, (EUR 8 148 in 2011), nor may it result in income tax of which the taxable base after application of the conjugal quotient is EUR 1 911 or less.

#### **Surtax:**

A surtax was introduced on 8th September 2011 and is applicable to all 2011 income declared in the income statement. The surtax of 3.5% is applicable to taxable income with an allowance equivalent to the annual minimum wage (485\*14) and a tax credit, per dependant, of 2.5% the minimum wage (0.025\*485).

### 10.1.3 *State and local income taxes*

## 10.2 *Treatment of family income*

The tax unit is the family and taxes are paid jointly.

## 10.3 *Social security contributions and payroll taxes*

Social security contributions are totally deductible if they exceed EUR 4 104.00 per taxpayer, in which case the deduction for the contributions replaces the standard earned income deduction.

Reference date for all information is July 1<sup>st</sup> 2011

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

#### *10.3.1 Contributions payable by employees and benefit recipients*

As a rule, the rate of employee contributions is 11 per cent of gross pay, with no ceiling.

#### *10.3.2 Contributions payable by employers*

The employer's rate of social security contributions is 23.75 per cent of gross pay, with no ceiling.

#### *10.3.3 Payroll taxes*

[This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. See Annex for details].

### **10.4 Treatment of particular group**

[for income taxes, social contributions and payroll taxes]

#### *10.4.1 Young persons*

#### *10.4.2 Older workers*

#### *10.4.3 Others if applicable*

[e.g. immigrants, self-employed, sick or disabled, pensioners]

## **11. Part-time work**

### **11.1 *Special benefit rules for part-time work***

The worker may change from full-time to part-time work for a pre-determined period up to a maximum of 3 years also due to the need to accompany the sons, adopted children or stepson that live with her, during the first 12 years of their lives. In this case only, the period of time spent in part-time work will be taken into consideration as if it was full-time work for the calculation of any benefit under the general regime of the public social security system for private workers.

### **11.2 *Special tax and social security contribution rules for part-time work***

When changing from full-time to part-time the worker is entitled to a temporary reduction in the workers social contribution rate: from the standard 11% to 6%. This temporary reduction will be effective throughout the period of the part-time work until a maximum of 36 months.

## **12. Policy developments**

### **12.1 *Policy changes introduced: 2<sup>nd</sup> July 2010 – 1<sup>st</sup> July 2011***

*In the beginning of 2011, all SII entitled individuals and beneficiaries between 18 and 55 years old with work capacity but without a job should have access to measures of recognition and validation of school, work or/and training skills and qualifications (Novas Oportunidades) within six months from the subscription of the Insertion Programme*

### **12.2 *Future policy changes announced since 1<sup>st</sup> July 2011***

A important agreement was settled by social partners in January 2012 “Commitment for Growth, Competitiveness and Employment” introduced numerous changes on Active Employment Policies, Labour Legislation, Unemployment Benefits and Labour Relations..

## ANNEX

### DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

#### **Social security contributions to general government**

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

#### **Social security contributions paid to institutions outside general government**

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

#### **Payroll taxes**

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.